

by the CPI) from the 1929 high to today has accompanied the rise of the meddling American welfare state from that time to the present. The former fundamental environment was far more conducive to growth.

Despite demonstrably poorer *background* conditions in fifth waves, stock market *valuation*, as discussed in Chapter 10, typically matches and often exceeds that seen at the peak of the corresponding third wave. Consider that in 1987/1995, U.S. stock prices reached an all-time record valuation with respect to dividend payout and value relative to bonds (see Figures 10-2 and 10-5). This extreme, achieved against relatively weak background conditions, provides a hint of why fifth waves end larger progressions: The rise in valuation to well above what an objective comparison of the background conditions would justify makes the market vulnerable to a relatively severe correction at the peak of the fifth wave. That is the situation today. From this weak and weakening foundation, a real crash can occur.

Surveying the Land From the Crest of the Wave

We have been enjoying a golden time in history. You should be happy that you have gotten to witness and experience it. It is time, though, to prepare for a change. The environment at the end of the next ten years will be the result of a mood trend in the opposite direction that will ultimately reach its own extreme. You should enjoy today's conditions emotionally, while in action preparing for the next phase. Man cannot change nature's physical laws, but he can master them through understanding and harness their power for his benefit. The same is true of the laws of human social behavior. Our only method of anticipating change is to discern the implications of the price patterns of markets, which reflect the patterns of social mood. Understanding the Wave Principle is the only method one can employ to stay in tune with the dynamics of human history and to be their master, not their pawn.